

To Dr. Nathan Jeschke

From Irman Sazzad (000737525)

Date July 3, 2026

Re Draft policy process tracing memo on FERC Order No. 888

Focus and Context

This memo follows the Specific Policy Track. The policy instrument is Federal Energy Regulatory Commission Order No. 888, formally titled Promoting Wholesale Competition Through Open Access Non Discriminatory Transmission Services by Public Utilities and Recovery of Stranded Costs by Public Utilities and Transmitting Utilities. FERC issued the order on April 24, 1996, as a federal administrative rule under the Federal Power Act. The main venue was FERC. The surrounding subsystem included Congress, federal courts, state utility regulators, vertically integrated electric utilities, independent power producers, wholesale buyers, power marketers, and industrial electricity consumers.

The policy area was wholesale electricity market restructuring. The relevant jurisdiction was interstate electric transmission, where FERC held federal authority, while states retained authority over retail electricity service and local utility regulation. Source types used in this draft include federal agency rulemaking records, a federal statute, a Supreme Court opinion, FERC policy history pages, and the course textbook.

Problem Definition

The central public problem was discriminatory control over electric transmission. Before Order No. 888, many utilities owned generation, controlled transmission lines, sold wholesale power, and served retail customers. Independent suppliers needed access to transmission lines owned by

utilities that also competed in generation. FERC defined this structure as a problem because public utilities could refuse transmission access to competitors or provide access on less favorable terms than terms applied to utility power sales (FERC, 1996).

The winning problem definition framed monopoly control over transmission as a barrier to fair competition. In that view, the grid was not only private utility infrastructure. The grid was the necessary pathway for wholesale electricity competition. FERC therefore presented open access as a remedy for undue discrimination and as a path toward lower cost power for consumers (FERC, 2005). Competing definitions also mattered. Incumbent utilities and state oriented actors could frame open access as a threat to the traditional regulatory compact, a federal intrusion into electricity governance, or a financial risk tied to stranded costs. FERC partly absorbed that competing definition by allowing recovery of legitimate, prudent, and verifiable stranded costs connected to open access service (FERC, 1996).

Stone's discussion of policy politics helps explain the conflict. Policy debates often turn on competing meanings of public interest, fairness, and responsibility rather than neutral facts alone (Stone, 2022). Order No. 888 was described as a competition policy, but federal regulation became the tool used to create that competition. The winning definition treated stronger federal transmission rules as necessary for a more competitive wholesale market.

Process and Timeline

The background begins with the Federal Power Act of 1935, which gave federal regulators jurisdiction over interstate transmission and wholesale electricity sales. The Supreme Court later described the older electricity system as a world of local monopolies, bundled service, and limited competition among utilities (New York v. FERC, 2002). That older structure became harder to

maintain as generation technology changed, wholesale transactions grew, and independent suppliers became more important.

The next major milestone was the Energy Policy Act of 1992. Congress amended federal energy law during a period when competition and market access had become stronger national energy themes. The act strengthened the legal background for wholesale power competition and gave FERC a clearer foundation to address transmission access issues (EPA, 1992). This statute was a pivotal institutional moment because FERC could move beyond access disputes handled one case at a time and toward a system wide open access rule.

After the Energy Policy Act, FERC adopted a broader regulatory solution. The final rule required public utilities that owned, controlled, or operated interstate transmission facilities to file open access transmission tariffs with minimum terms and conditions of nondiscriminatory service (FERC, 1996). The rule also required functional unbundling of wholesale generation and transmission service. Functional unbundling did not require complete corporate breakup. Utilities instead had to treat transmission service for utility wholesale transactions under the same general tariff used by others (New York v. FERC, 2002).

FERC issued Order No. 889 on the same day. Order No. 889 created the Open Access Same Time Information System and standards of conduct. This companion rule mattered because transmission access would have been weaker without transparent information about available capacity, prices, and transmission terms (FERC, 1996). After issuance, resistance continued through rehearing and litigation. FERC issued Order No. 888A in 1997, with later clarification and rehearing orders in 1997 and 1998 (FERC, 1996). In New York v. Federal Energy Regulatory Commission, the Supreme Court upheld FERC's authority to include unbundled retail transmissions in the open

access requirements and accepted FERC's decision not to impose the same requirement on bundled retail transmissions (New York v. FERC, 2002).

Influences on the Subsystem

FERC was the central institutional actor. The commission acted as problem framer, rule designer, and legal interpreter. FERC defined transmission discrimination as the barrier preventing wholesale competition, selected open access tariffs as the remedy, and used federal authority under the Federal Power Act to impose the rule. Congress shaped the opportunity structure through the Energy Policy Act of 1992, which strengthened the legal and political basis for transmission access reform.

Incumbent vertically integrated utilities were key affected actors. The order reduced the advantage attached to control over transmission facilities. At the same time, stranded cost recovery gave utilities partial protection during the transition. This design choice suggests that FERC needed to reduce opposition enough to make the rule legally and politically durable. Independent power producers, wholesale sellers, power marketers, and large customers were likely winners because open access created a more credible path to sell or buy power across utility systems.

State utility regulators had a mixed position. Some state interests were protected because FERC did not require universal unbundling of bundled retail service. Other state interests were constrained because the Supreme Court confirmed federal authority over unbundled interstate transmission, even when retail customers were involved (New York v. FERC, 2002). Expert information and technical market design played a larger role than broad public opinion. The key information concerned transmission access, market power, tariff design, stranded costs, and jurisdiction. The broader political mood also mattered because 1990s policy discussions often treated competition as a plausible reform tool.

Outcome

The final policy output was a federal open access transmission regime for wholesale electricity markets. Order No. 888 required public utilities with interstate transmission facilities to file open access tariffs and provide comparable transmission service. The order also allowed stranded cost recovery and required functional unbundling of wholesale generation and transmission functions (FERC, 1996). Order No. 889 added information and conduct rules needed to support the new access regime (FERC, 1996).

The final policy differed from more radical restructuring options. FERC did not require complete divestiture of generation from transmission. FERC also did not require open access for the transmission component of bundled retail sales. The adopted policy therefore opened wholesale markets through federal tariff regulation while avoiding a full redesign of retail electricity regulation. This balance helped the rule survive legal challenge and made the policy less disruptive than full structural separation.

The longer outcome shows both success and incompleteness. FERC later encouraged regional transmission organizations through Order No. 2000 (FERC, 2024). Order No. 890 later concluded that additional reform remained necessary because providers retained incentives and opportunities to discriminate in areas where the tariff left substantial discretion (FERC, 2007). Order No. 888 therefore stands as a foundational policy shift rather than a final settlement.

Reference

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Cover Note

This revision keeps FERC Order No. 888 as the specific policy instrument, but the memo now moves beyond a general chronology. The draft has been rebuilt around a tighter analytical claim that Order No. 888 changed wholesale electricity governance because FERC used a favorable policy window to reframe transmission control as a fairness and market access problem, then converted that new policy image into enforceable institutional rules.

The biggest revision is a deeper focus on three areas. First, the problem definition section now treats FERC's framing as a policy narrative rather than only a technical legal finding. Second, the actor section now distinguishes the basic positions of competition oriented actors, incumbent utilities, and state authority actors instead of only listing them. Third, the outcome section now explains open access tariffs, OASIS, functional unbundling, and stranded cost recovery as institutional rules that changed behavior in the wholesale electricity action arena.

The understanding of the policy process also changed. The first draft made Order No. 888 look like a logical regulatory response to a known market problem. The revision treats the order as a political and institutional change shaped by ambiguity, policy image, coalition conflict, stream convergence, and rule design. The memo also recognizes a limit in the evidence. Because the order was issued in 1996, a full reconstruction of coalition beliefs from primary stakeholder records is difficult within the available time. The revision therefore uses a cautious coalition map and focuses more deeply on the institutional design that can be supported by available agency, statutory, and court sources.

To: Dr. Nathan Jeschke

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Date: July 27, 2026

Re: Revised policy process tracing memo on FERC Order No. 888

Focus and Context

This memo follows the Specific Policy Track. The policy instrument is Federal Energy Regulatory Commission Order No. 888, formally titled Promoting Wholesale Competition Through Open Access Non Discriminatory Transmission Services by Public Utilities and Recovery of Stranded Costs by Public Utilities and Transmitting Utilities. FERC issued the order on April 24, 1996, as a federal administrative rule under the Federal Power Act (FERC, 1996).

The central venue was FERC, but the larger subsystem included Congress, federal courts, state utility regulators, vertically integrated electric utilities, independent power producers, wholesale buyers, power marketers, and industrial electricity consumers. This revision looks more closely at how the policy became possible, why the final design took the shape it did, and how FERC changed the rules of the wholesale electricity market.

Problem Definition and Policy Narrative

The central public problem was discriminatory control over electric transmission. Before Order No. 888, many utilities owned generation, controlled transmission lines, sold wholesale power, and served retail customers. Independent suppliers needed access to transmission lines owned by utilities that also competed in generation. FERC defined this structure as a public problem because utilities could refuse access or provide access on less favorable terms than those used for their own wholesale transactions.

The causal story was that competition could not work unless transmission access became fair, transparent, and comparable. The grid was framed as the necessary pathway for wholesale electricity competition.

The Narrative Policy Framework helps clarify this framing. The setting was a changing electricity market still shaped by older monopoly structures. The harmed actors were independent suppliers, wholesale buyers, and consumers who could not benefit from competition if transmission remained closed. Vertically integrated utilities were not simple villains, but they were portrayed as gatekeepers in a closed system. FERC and open access rules became the solution that could make competition meaningful.

Punctuated Equilibrium Theory also helps explain why this framing mattered. For decades, the dominant policy image of electricity centered on local monopoly, bundled service, and cost based regulation. Order No. 888 helped shift attention to a new image: transmission as a bottleneck that could block fair competition. Once that image became persuasive, federal regulation appeared necessary to create a more open market.

Process and Timing

The timing of Order No. 888 is best explained through the Multiple Streams Framework and PET. The problem stream was the recognition of discriminatory transmission access. The policy stream contained open access tariffs, comparability, functional unbundling, stranded cost recovery, OASIS, and standards of conduct. The politics stream became more favorable after the Energy Policy Act of 1992, which strengthened the legal foundation for wholesale power competition and transmission access reform (EPA, 1992). FERC coupled these streams by framing the problem, selecting the rulemaking venue, preparing the regulatory design, and using the policy window

created by congressional action and changing market ideas. This was not pure deregulation. It was a regulated opening of the market. PET adds the longer view. The older electricity system was stable because vertically integrated utilities, state regulation, and routine federal oversight created negative feedback. Pressure grew as wholesale transactions expanded, independent suppliers became more important, and transmission control became easier to define as a market barrier. Order 888 was therefore a punctuation, even though administrative rulemaking.

Influences and Actor Positions

FERC was the central institutional actor. The commission acted as problem framer, rule designer, and legal interpreter. From a Module 1 perspective, this also shows why administration and politics are difficult to separate. FERC was not only implementing a technical rule. It was making political judgments about fairness, competition, federal authority, and market structure.

Competition oriented actors had strong reasons to support open access. Independent power producers, wholesale sellers, power marketers, and large customers benefited from a rule that made entry and trade more credible. It was support for federal rules that prevented incumbent utilities from using transmission control as a private market advantage.

Incumbent vertically integrated utilities had different concerns. Order No. 888 reduced the market advantage attached to transmission control. Utilities could frame the policy as a threat to the traditional regulatory compact, a federal intrusion into electricity governance, or a financial risk tied to stranded costs. FERC's stranded cost recovery provision was therefore a central compromise. Open access advanced competition, while stranded cost recovery reduced the transition burden on incumbent utilities.

State utility regulators occupied a mixed position. States retained authority over retail electricity service and local utility regulation, but federal authority over interstate transmission became more important. *New York v. FERC* later confirmed that jurisdictional tension remained central to the policy (*New York v. FERC*, 2002). FERC avoided full retail restructuring, but it strengthened federal authority where interstate transmission access was involved.

Institutional Design and Outcome

Order No. 888 changed the institutional rules of the wholesale electricity action arena. In Institutional Analysis and Development terms, the order changed who could participate, what choices were available, what information had to be shared, and what outcomes became possible.

Open access tariffs changed choice rules by requiring utilities with interstate transmission facilities to offer nondiscriminatory transmission service. Functional unbundling changed utility roles by separating wholesale generation and transmission functions for regulatory purposes without requiring complete corporate breakup. Comparability rules changed the relationship between utilities and competitors by requiring transmission service for others to be offered on terms comparable to utility use for wholesale transactions.

Order No. 889 strengthened information rules through OASIS and standards of conduct (FERC, 2023). Access rights would have been weaker if market participants could not see available transmission capacity, prices, and terms. Stranded cost recovery changed the payoff structure by protecting utilities from some transition losses connected to investments made under the older regulatory system.

This design also shows the distributive nature of the policy because policy design affects who receives benefits, who bears costs, and what process is treated as fair (Stone, 2012). Open access

distributed market opportunity to competitors and wholesale buyers. Stranded cost recovery distributed part of the transition burden away from incumbent utilities. The final order balanced efficiency, fairness, and institutional durability rather than choosing a fully deregulatory or fully structural remedy.

Causal Explanation

Order No. 888 happened when a changing policy image, a prepared regulatory solution, and a favorable legal and political moment came together. The older monopoly model had remained stable for decades because established institutions, jurisdictional boundaries, and utility business models protected the status quo. By the 1990s, that equilibrium weakened. Transmission control became easier to frame as discrimination. Wholesale competition became more acceptable as a policy goal. FERC had a workable policy design ready. Congress had created a stronger legal foundation through the Energy Policy Act of 1992. FERC then used that policy window to turn a market access problem into a federal open access rule.

The final policy output was a federal open access transmission regime for wholesale electricity markets. It did not resolve every later issue involving discrimination, regional coordination, or market power. Later reforms such as Order No. 890 show that the policy remained incomplete (FERC, 2007). Still, Order No. 888 was foundational because it moved wholesale electricity governance toward rule based open access.

References

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